10 Louise invests £x in Better Investments for 3 years.
Sadiq invests £x in County Bank for 3 years.

Better Investments
Compound Interest
2.5% per annum

County Bank
Compound Interest
2% per annum for the first two years 3.5% per annum for each extra year

At the end of the 3 years, the value of Louise's investment is £344 605

Work out the value of Sadiq's investment at the end of the 3 years.

Louise: $x(1.025)^3 = £344605$

$x = 344605 / (1.025)^3 = £320000$

Sadiq: $x(1.02)^2(1.035)$

$= 320000 \times (1.02)^2 \times 1.035$

$= £344580.48$

1 mark
begin reverse compound

1 mark
original x = 320000

1 mark
correct Sadiq factors

1 mark
£344580.48

£ 344580.48

(Total for Question 10 is 4 marks)

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